

UNIT

71



COMPANY FINANCES

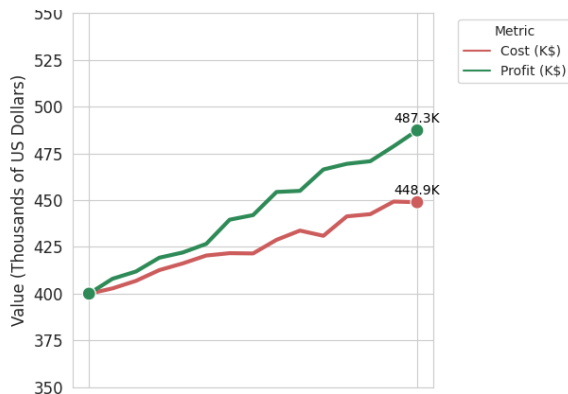
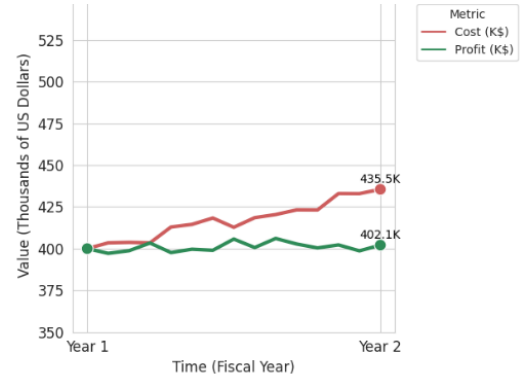
CONVERSATION

Clara: Alright, let's go over the last three fiscal years. In the first one, costs went up, but profit didn't. What happened?

Paulo: The supplier raised their prices that year; therefore, our production costs increased.

Clara: But sales stayed the same, right?

Lena: Exactly. We didn't change our price, so the profit stayed flat. Thus, the higher cost reduced our margin.



Clara: In the second year, both cost and profit increased.

Lena: That's when we launched the flagship product. It sold really well. As a consequence, even with higher production cost, profit went up too.

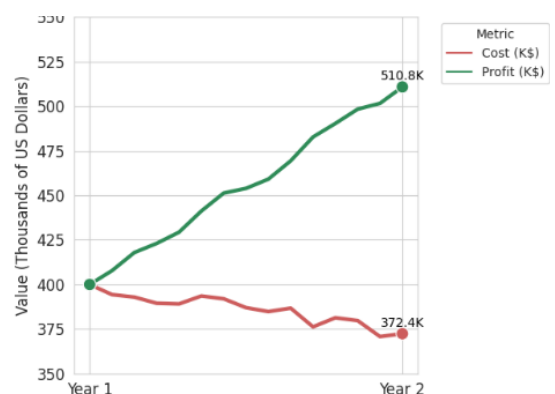
Paulo: Yeah, we also invested in better packaging; therefore, unit costs increased a little, but it paid off.

Clara: Finally, in the third year, cost went down and profit went up.

Paulo: We switched suppliers. Prices dropped across several materials; therefore, total cost decreased.

Lena: And we adjusted our budget to focus on key campaigns only. As a consequence, we reached the same sales with less spending.

Clara: Great. That's clear enough for the report.



VOCABULARY



Cost



Profit

Category	Estimated Amount (\$)
Sales	\$15,000
Services	\$2,000
Operating Expenses	
Rent	\$6,000
Utilities	\$500
Owner Salary	\$6,000
Marketing	\$1,200
One-Time Expenses	
Equipment	\$0
Repairs	\$200
Taxes	\$1,000
Contingency Fund	\$500
Business Profit	\$1,200
Total	\$15,800

Budget



Price



Fiscal year



Taxes



Increase /
Go up



Decrease /
Go down

LANGUAGE PRACTICE

Sentence connectors of result

Our costs increased last fiscal year; **therefore**, our profit decreased.

That's true; **thus**, we decided to raise the price a little to recover part of the loss.

Yes, and the taxes were higher too; **as a consequence**, the budget got tighter.





EXERCISE 1

Use each word once (tax, fiscal year, price, decreased, profit, budget, increased, cost)

- A. The production _____ went up after the company changed suppliers.
- B. The selling _____ of our main product is slightly lower now.
- C. The company made some good _____ after coming up with a new product.
- D. This _____ ends next month, and reports must be ready.
- E. Our marketing _____ for this year is almost spent.
- F. Every employee pays income _____ at the end of the year.
- G. Sales _____ after the new campaign started; It was a absolute success!
- H. Customer complaints _____ once we improved the customer service system.

EXERCISE 2

Complete each sentence with one vocabulary word (cost, price, profit, fiscal year, budget, tax, increased, decreased) and one connector of result (therefore, thus, as a consequence)

- A. The company spent more on materials; _____ the total _____ went up.
- B. We offered a discount to attract new clients; _____ the _____ was lower.
- C. We had a huge increase in sales last year; _____ the _____ increased a lot.
- D. The _____ ended last week; _____, the team is finishing up all accounting.
- E. The marketing _____ was cut; _____, fewer ads were released.
- F. The government raised the sales _____; _____, customers paid more.
- G. Demand _____ sharply after the product upgrade; _____, production had to grow.
- H. Delivery time _____ after staff training; _____, client satisfaction grew.

SUMMARY

Connector	Position in sentence	Meaning	Example
Therefore	After a period or semicolon	Shows the result of the situation found in the prior sentence.	Costs increased; therefore, profits went down.
Thus	Primarily after semicolon		The tax was higher; thus, the final price changed.
As a consequence	After a period or semicolon		The budget was smaller; as a consequence, the project slowed down.

EXERCISES ANSWER KEYS

Exercise 1

- A. cost
- B. price
- C. profit
- D. fiscal year
- E. budget
- F. tax
- G. increased
- H. decreased

Exercise 2

- A. cost; therefore
- B. price; thus
- C. profit; as a consequence
- D. fiscal year; therefore
- E. budget; as a consequence
- F. tax; thus
- G. increased; therefore
- H. decreased; thus